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ASMPT (0522.HK)

3Q26 First Take: Bookings at Record High, Guidance Well Above Expectations

CITI'S TAKE

ASMPT's 3Q26 results broadly met expectations while bookings reached a new record high driven by AP, SEMI mainstream, and SMT. Bookings surged 144% YoY (+25% QoQ) to a record high of HK$8.5bn (B/B ratio 1.69). GPM was stable QoQ with further improvement in SMT GPM. 4Q26 revenue outlook beat expectations by 9% with the low-end already above consensus, pointing to a 38% YoY growth. We see strong advanced packaging demand ahead supported by the strong bookings trend. Reiterate Buy. We look to more details at its analyst briefing Oct 28th 8:30am Hong Kong time.

Buy	
Catalyst Watch: Upside, expires 22-NOV-26	
Price (27 Oct 26 16:10)	HK$121.20
Target price	HK$250.00
Expected share price return	106.3%
Expected dividend yield	2.1%
Expected total return	108.4%
Market Cap	HK$50,832M
	US$6,480M

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3Q26 broadly met expectations — Revenue of HK$5,247mn (US$669mn, +49% YoY/+6% QoQ) met the original guidance range of US$630-690mn driven by robust growth in SEMI (+68% YoY) and SMT (+30% YoY). GPM was stable at 42.1% in 3Q26, beating BBG/Citi est. of 41.1%/41.9%. Net profit came in at HK$533mn, below Street's HK$578mn (due to Street's lower tax rate) but in line with Citi est.

4Q26 revenue guidance mid-pt beat consensus 9% — The company expects 3Q26 revenue in the range of US$670-730mn (HK$5.3-5.7bn), with the lower-end already above consensus of HK$5.1bn. The guidance mid-pt suggests a revenue YoY growth of 38% YoY (+5% QoQ).

B/B ratio surged to 1.69 — Bookings rose to a record high of HK$8.8bn driven by both SEMI (+172% YoY/32% QoQ) and another record booking for SMT (+122% YoY/19% QoQ).

Implications — We view the 3Q results meeting expectations while the bookings and 4Q26 outlook a bright spot. Record bookings suggest robust revenue/earnings growth ahead. Reiterate Buy.

Earnings Summary

Year to 31 Dec	Net Profit (HK$M)	Diluted EPS (HK$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	345	0.83	-51.9	145.6	3.3	2.2	0.6
2025A	489	1.17	40.9	103.4	3.0	3.0	1.1
2026E	1,732	4.14	253.0	29.3	2.8	9.9	2.1
2027E	2,655	6.34	53.2	19.1	2.6	14.2	3.0
2028E	3,433	8.20	29.3	14.8	2.4	16.8	3.8

Source: Powered by dataCentral

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 1. ASMPT – 3Q26 Results Comparison

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26				
(HK$ mn)							Actual	BBG	Diff	Citi est	Diff
Revenue	**3,005**	**3,244**	**3,528**	**3,959**	**3,967**	**4,936**	**5,247**	**5,216**	**1%**	**5,195**	**1%**
YoY %	*-4%*	*-3%*	*5%*	*16%*	*32%*	*52%*	*49%*	*48%*		*47%*	
Gross Profit	1,231	1,283	1,326	1,419	1,566	2,092	2,209	2,184	1%	2,133	4%
GPM	**41.0%**	**39.6%**	**37.6%**	**35.8%**	**39.5%**	**42.4%**	**42.1%**	**41.9%**	**0.2ppts**	**41.1%**	**1.0ppts**
Opex	(1,044)	(1,087)	(1,172)	(1,258)	(1,181)	(1,306)	(1,411)	(1,452)	-3%	(1,368)	3%
Opex %	34.7%	33.5%	33.2%	31.8%	29.8%	26.5%	26.9%	27.8%	-0.9ppts	26.3%	0.5ppts
EBIT	**187**	**197**	**154**	**161**	**385**	**786**	**799**	**733**	**9%**	**765**	**4%**
EBIT margin	6.2%	6.1%	4.4%	4.1%	9.7%	15.9%	15.2%	14.0%	1.2ppts	14.7%	0.5ppts
Pre-Tax Profit	133	132	122	229	445	645	772	745	4%	760	2%
Net Profit - Adj.	**182**	**148**	**84**	**146**	**326**	**421**	**533**	**578**	**-8%**	**534**	**0%**
YoY %	*-38%*	*9%*	*224%*	*3225%*	*192%*	*185%*	*535%*	*588%*		*535%*	
EPS (HK$) - Adj.	**0.44**	**0.35**	**0.20**	**0.35**	**0.78**	**1.00**	**1.27**	**1.32**	**-4%**	**1.27**	**0%**

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Source: Company Reports, Bloomberg, Citi Research Estimates

Figure 2. ASMPT – 12M fwd. P/E Band



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Source: dataCentral, Citi Research

Figure 3. ASMPT – 12M fwd. P/E Chart



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ASMPT (0522.HK): Adding Upside 30-Day Catalyst Watch

ASMPT (0522.HK): News Reported ASMPT's SMT Unit Valued at Over US$1bn

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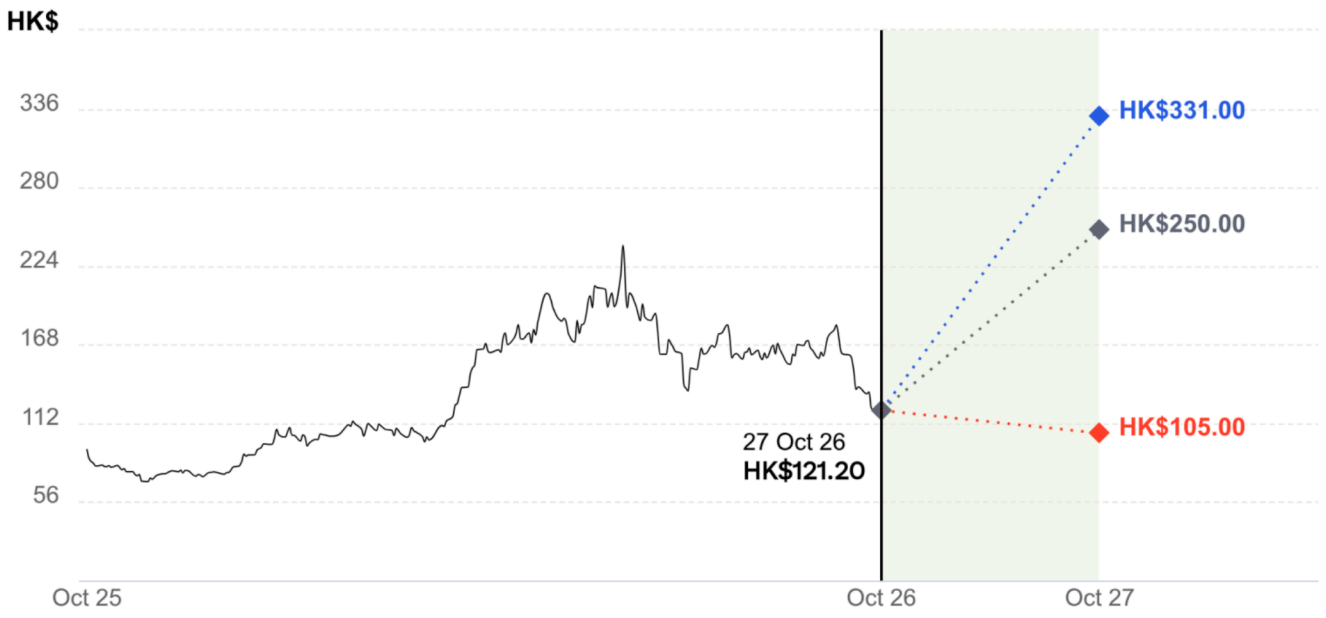
Catalyst Watch on ASMPT (0522.HK)

Direction:	**Upside**
Duration:	Within 30 Days (expires 22 Nov 2026)
Date Added:	22 Oct 2026
Catalyst:	Thematic driven

We expect ASMPT shares to re-rate driven by upward OSAT capex revisions, especially with strong demand for advanced packaging equipment. JCET (600584.SS), China's largest OSAT, announced on October 22 that its board had approved raising the 2026 capex budget from Rmb11bn to Rmb18.2bn, a 65% increase. We expect more Chinese OSATs to also increase capex spending. China is ASMPT's single largest market, contributing 42% of total revenue in 1H26. We view the near-term bearish sentiment and sector weakness for semiconductor equipment as an opportunity to add exposure to ASMPT.

Bull/Bear: ASMPT

HK$ 331.00 ▲173% Upside | HK$ 250.00 ▲106% Upside | HK$ 105.00 ▼13% Downside



Spread 186pp
Current Price and expected returns (upside/downside) as of 27 Oct 2026

BULL Assumptions

- Revenue growth of 42%/22% in 2026E/27E
- GPM improvement to 42.0%/41.5% in 2026E/27E
- 45x 2027E P/E valuation

BASE Assumptions

- Revenue growth of 40%/18% in 2026E/27E
- GPM improvement to 41.0%/41.1% in 2026E/27E
- 40x 2027E P/E valuation

BEAR Assumptions

- Revenue growth of 38%/15% in 2026E/27E
- GPM at 40%/40% in 2026E/27E
- 20x 2027E P/E valuation

ASMPT

Valuation

Our target price of HK$250 is based on peak valuation of 40x 2027E P/E. We view the peak valuation as justified because we expect strong revenue and earnings recovery driven by: 1) AI-driven advanced packaging order wins, including TCB for HBM and CoW applications; and 2) improving demand for mainstream SEMI and SMT. Potential sales of SMT business could solidify its market position as a leading provider of advanced packaging solutions, leading to valuation re-rating beyond its historical range.

Risks

Downside risks to our target price include: 1) a slowdown in AI infrastructure outlook with delayed investment; 2) TCB market share loss at key customers; 3) reduced TCB demand due to changes in packaging technologies; 4) intensified industry competition; 5) export restriction extending to back-end equipment.

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Appendix A-1

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ASMPT (0522.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Kevin Chen



	Date	Rating	Target Price	Closing Price
1	25-Oct-23 19:24:43	*1	85.00	67.92
2	28-Feb-24 17:15:12	1	*120.00	90.64
3	24-Apr-24 15:46:35	1	*140.00	100.84
4	24-Jul-24 08:56:09	1	*110.00	87.21
5	31-Oct-24 04:34:18	1	*105.00	84.08
6	26-Feb-25 12:15:35	1	*75.00	63.47
7	01-May-25 13:33:57	1	*65.00	51.73
8	23-Jul-25 13:13:41	1	*75.00	62.91
9	11-Aug-25 11:00:54	1	*85.00	69.88
10	31-Oct-25 03:41:57	1	*100.00	81.63
11	21-Jan-26 18:19:50	1	*125.00	101.34
12	04-Mar-26 15:09:09	1	*145.00	107.51
13	22-Apr-26 15:53:46	1	*180.00	151.51
14	02-Jul-26 15:48:42	1	*250.00	194.20

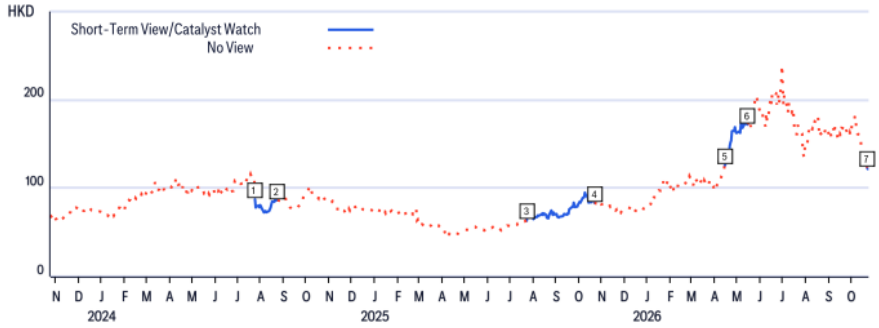
*Indicates Change

Rating/target price changes above reflect Eastern Time

ASMPT (0522.HK)

Short-Term View/Catalyst Watch Research

Analyst: Kevin Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	24-Jul-24 04:56:09	Add STV	Downside	30 Days	87.21
2	23-Aug-24 14:19:04	Remove STV	Downside	30 Days	86.26
3	23-Jul-25 09:13:41	Add STV	Upside	90 Days	62.91
4	22-Oct-25 00:34:21	Remove STV	Upside	90 Days	83.17
5	14-Apr-26 00:41:45	Add CW	Upside	30 Days	124.93
6	15-May-26 00:28:53	Remove CW	Upside	30 Days	172.00
7	22-Oct-26 08:20:25	Add CW	Upside	30 Days	123.10

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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